

CORPORATE GOVERNANCE

The Directors are responsible for the Corporate Governance practices of Mermaid. This statement sets out the main Corporate Governance practices that were in operation during the Period.

Board of Directors

The Board carries out its responsibilities in accordance with the following:

- The Board will comprise at least four directors;
- The Board will be made up of at least one quarter of non-executive directors;
- The directors must between them possess a broad range of skills, qualifications and experience;
- The Board will meet on a monthly basis; and
- All available information in connection with items to be discussed at a meeting of the Board will be provided to each director prior to that meeting.

The primary responsibilities of the Board include:

- Establishing Mermaid's goals and developing strategic plans to achieve them;
- The review and adoption of annual budgets and cashflow forecasts for the financial performance of Mermaid and monitoring the results on an ongoing basis;
- Identifying business risks and implementing actions to manage those risks;
- Developing an effective management and corporate system to ensure safety, quality, measure progress and exercise control;
- Ensuring the employment and further development of efficient and qualified staff for the growth of the Company's business consistent with industry leadership;
- Identifying and developing strategic relationships for growth and access to specialist expertise; and
- Develop clear and accurate annual and half-yearly financial reports for Mermaid stakeholders.

Independent Professional Advice

Subject to the Chairman's prior approval (not to be unreasonably withheld), directors, at Mermaid's expense, may obtain independent professional advice on issues arising in the course of their duties.